

PAGERO



Country Compliance Report: **Sri Lanka**

Information class: Restricted



Country Compliance Report: Sri Lanka

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Introduction and document purpose

Pagero Group builds the world's largest, open business network – so you can reach any business, anywhere in the world. No matter how many borders your operations may cross or how many systems you are connected to, we take care of the technical and regulatory requirements across your entire order-to-cash, purchase-to-pay and freight processes. We give you data accuracy and security, transparency and real-time visibility – through a single connection.

At Pagero Group, we believe that technology supports sustainability. That's why we are committed to helping businesses become 100% paperless, supporting resource efficiency, transparency and business continuity.

The main purpose of this country compliance report is to provide the reader with an in-depth analysis of the focus country's laws, regulations, and process with regards to e-invoicing and other trade documents. The analysis considers topics such as business requirements before switching to electronic invoices, e-document creation, e-document distribution, integrity and authenticity, and, finally, e-archiving.

This document guides how Pagero solutions support customers in the focus country to meet local regulations and serves as a supplement to Pagero General E-invoicing Process Description.

The information provided by Deloitte which is part of this material was solely prepared as general information. It was prepared to meet with specific requirements and was not prepared for any other purposes or objectives. Changes in conditions over time may affect the contents of the material and its content. We do not express any opinion or conclusion in this material.



1. Terminology

This section outlines general and country-specific terminology for Sri Lanka, which will be used throughout the whole document.

Term	Explanation
B2B	Business-to-Business is a transaction or business conducted between one business and another, such as a wholesaler and retailer
B2C	Business-to-Consumer refers to the business relationship a company selling products, services or information to governments or government agencies
B2G	Business-to-Government normally refers to the process of businesses selling products and services directly to consumers, with no middleman i.e. supplier to consumer.
Business Controls	Internal controls to oversee the correctness and veracity of all financial, transactions and operational elements of an organization. In the context of electronic invoicing it often refers to the use of business controls in creating a reliable audit trail between an invoice and the underlying supply of goods and services and can be used to ensure the authenticity of origin and integrity of content for all invoices
EDI	Electronic Data Interchange. The computer-to-computer interchange of a standardised format for data exchange. It is the concept of businesses electronically communicating information (invoice and other document types).
IRD	Inland Revenue Department
Sri Lankan Commercial Invoice	A commercial invoice in Sri Lanka is an invoice that is issued from a taxable person to any person not registered for VAT (non-taxable person). These invoices does not show VAT amount charged separately, i.e., they show total amount charged, including VAT.
Sri Lankan Simplified Invoice	A simplified invoice in Sri Lanka is an invoice that has its VAT suspended, meaning no VAT is charged on the supply. This type of invoices can only be used for supplies to Registered Identified Purchasers (RIPs). The list of

	RIPs can be found on the website of the Inland Revenue Department (IRD). Not to be confused with a simplified invoice (i.e. a receipt)
Sri Lankan Tax Invoice	A tax invoice in Sri Lanka is an invoice issued by a taxable person for all taxable supplies to another taxable person. A tax invoice should indicate the value of supply and the VAT charged separately.
Post Audit	A model where the Trading Partners are allowed to exchange e-invoices and perform obligations under such without a requirement of prior clearance of such issuance or other actions with the (tax) authorities. Instead, transactions will be reported to the authorities after they have taken place



2. General overview

This section provides an initial introduction into the local e-invoicing environment within Sri Lanka, including the types of local e-invoice regulations, go-to governmental and industry bodies, and whether multiple invoicing regimes, that is, varying regulatory requirements, exist for example by industry, business size, or other defining factors.

Item	Commentary
Authorities and other agencies relevant for e-invoicing	• Ministry of Finance • The Inland Revenue Department (IRD) • Information and Communication Technology Agency of Sri Lanka (ICTA)
Main applicable legislation in respect of e-invoice issuance, exchange, reception and retention	• Value Added Tax Act No.14 of 2002 (the VAT Act) [Incorporating Amendments up to 01.01.2014] • Value Added Tax (Amendment) ACT, No.11 of 2015 • Value Added Tax (Amendment) ACT, No.20 of 2016 • Value Added Tax (Amendment) ACT, No.25 of 2018 • Value Added Tax (Amendment) ACT, No.19 of 2019 • Value Added Tax (Amendment) ACT, No.09 of 2021 • Value Added Tax (Amendment) ACT, No.13 of 2022 • Value Added Tax (Amendment) ACT, No.44 of 2022 • Electronic Transactions Act, No. 19 of 2006



3. E-Invoice status

When considering sending or receiving e-invoices two basic questions should be considered: is invoice equal to paper invoice from the legal perspective; and if there are any situations where e-Invoicing is mandatory for reception or transmission.

Item	Commentary
E-invoice status	• Allowed
Varying invoicing regimes¹	• The same regime exists for all public and private entities
e-Invoicing model	• Post Audit
e-Invoice definition²	• No explicit definition provided in the law • Reference can be drawn to the definition of “electronic document” which reads as “information, communications or transactions in electronic form” as defined in article 26 of the Electronic Transactions Act
Scope of taxpayers the e-document mandate applies to	• No explicit requirements
Mandatory AoR (document response) process	• No explicit requirements
Implementation / roll-out plan	• N.a.

¹ It is possible that a business is required to send e-invoice in some scenarios, and send voluntarily in others

² Differing definitions may exist between different levels of government, or differing legislation, i.e. accounting law and IT law



4. Before switching to e-invoices

4.1. IT³ registration

Every person who carries out a taxable activity must register for VAT if their taxable supply of goods and services has:

- Exceeded RS 20.000.000 per quarter
- Exceeded RS 80.000.000 per annum
- Likely to exceed RS 20.000.000 in the succeeding quarter or RS 80.000.000 in the succeeding 12 months

Every person required to register for VAT as expressed above must do so not later than 15 (fifteen) days from the date on which is so liable to be registered.

Sri Lankan Tax Identification Number (TIN) format: 123456789-7000 (9-digit number with code number 7000)

4.2. Process to switch to e-Invoicing

Even though many countries encourage or even mandate e-Invoicing, there may be specific requirements on the Trading parties – typically the Supplier – before starting an e-Invoicing program. This section provides a brief overview of such requirements.

Item	Commentary
Actions towards authorities, required in order to enable electronic processing instead of conventional processing	• No explicit requirements
Actions between the trading partners, e.g. customer acceptance, agreement, etc.	• No explicit requirements • Buyer's acceptance can be tacit, i.e. by processing the invoice in its accounting system or by paying the invoice

³ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

Transition period from the moment of starting e-invoicing during which, e.g. parallel invoicing may be allowed	• None
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4.3. Outsourcing invoice issuance function

Many companies decide to outsource the issuance process of e-invoicing to third parties who have the necessary infrastructure and knowledge of implementing and executing e-Invoicing. This may be driven by a technical limitation or local regulatory requirements. However, before doing so, it is highly recommended that a supplier investigates whether such outsourcing is permissible and whether any requirements must be fulfilled.

Item	Commentary
Whether outsourcing of invoice issuance (creation) is allowed or not	• Allowed
Whether statement of outsourced issuance is required on the invoice	• Not explicitly required
Whether outsourcing agreement is required between the taxpayer and the third-party is performing actions on its behalf	• Not explicitly required
Content and formality requirements to the Outsourcing agreement between the taxpayer and the third-party	• Not explicitly required
Whether any notifications to or derogations from authorities are required in the specific jurisdiction for outsourced issuance	• Not explicitly required
Whether, and which, requirements exist to the outsourced party to be able to act on behalf of the taxpayer	• Not explicitly required

4.4. Outsourcing invoice receipt function

Due to the unique nature of the AP process, it may be required for the buyer (invoice receiver) to have an explicit agreement, or other permissions to be put in place for Service Providers to conduct invoice receiving functions on behalf of them.

Sri Lanka has no explicit requirements on the outsourcing of the function of receiving invoices (similar to the function to issue invoices as outlined above).



5. Document processing

5.1. Format and other technical requirements

Globally, a multitude of e-Invoicing formats and infrastructures exist. Local regulators often offer or mandate the use of certain formats, standards, or platforms for the transmission or delivery of invoices or other tax-related documents. Pagero has the technical depth and experience to support country-specific technical requirements globally.

Item	Commentary
Mandated document format(s) for exchange with mandated Gov platform(s) and/or between the trading parties	• No explicitly mandated formats
Other document format(s) commonly used for exchange between trading parties	• PDF
Mandated platform(s) required to have connection with for e-document processing	• N.a.
Other platform(s) relevant for e-document processing	• N.a.
Schematron(s), XSD schema or other official mechanisms ensuring document content	• N.a.
Routing ID's / codes or other identifiers used in the jurisdiction for counter-party identification and document exchange	• N.a.
Other technical aspects	• No explicit requirements

5.2. Communication with HUB

Regulations in Sri Lanka foresee the following options on how e-documents can be communicated with the mandatory infrastructure(s):

Communication options	Commentary
Automated	• N.a.
Manual	• N.a.
Other options	• N.a.

5.3. Issuance and clearance process

This section describes the document issuance and clearance process from the supplier perspective.

There are no explicit requirements on issuance for both B2B and B2G. Sri Lanka follows the post-audit model. Documents can be exchanged with your customers in various formats and via various exchange mechanisms, according to business-related preferences

The key requirements are to ensure the Sri Lanka-specific document content, document integrity and authenticity, as well as archiving requirements are fulfilled

5.3.1. Domestic documents

This section describes the process for documents created to be transmitted within the given country

Sri Lanka follows post-audit-model. See below:

(1) Documents can be exchanged with your suppliers and customers in various formats and via various exchange mechanisms, due to legal requirements and other business-related preferences

(2) The key requirements are to ensure the country-specific document content, document integrity, and authenticity, as well as archiving requirements

(3) Neither document format nor exchange mechanism is mandated.

5.3.2. Cross-Border

This section describes the requirements for cross-border outbound documents such as sales invoices

No explicit requirements. See [section 5.3.1](#) above.

5.4. Reception and validation process

This section describes the document reception, validation and acceptance processes from the buyer perspective.

There are no explicit requirements on reception, validation, or AoR processes for both B2B and B2G. Sri Lanka follows the post-audit model, which has been outlined above under [section 5.3.1](#).

5.4.1. Domestic documents

This section describes the process for documents received for purchases or transactions within the given country

No explicit requirements. See [section 5.3.1](#) above.

5.4.2. Cross-Border

This section describes the requirements for cross-border inbound documents such as purchase invoices

No explicit requirements. See [section 5.3.1](#) above.

5.5. AoR (response) process

Sri Lanka has no explicit requirement for the buyer to provide the supplier a confirmation and/or notification that an e-Invoice or other invoice has been received.

5.6. HUB validations

Some tax regimes require businesses to send tax documents to a predetermined hub either before, shortly after issuing invoices. Generally, a hub that requires this will send a reply to the issuer. This reply can be expressed as a clearance/ approval response, rejection, semi approved, etc.

There is no mandatory infrastructure conducting validations in Sri Lanka.

5.7. Invoice presentation / copy

To distinguish duplicate invoices from originals, the following wording must be used:

Issuing a PDF Presentation (a human-readable duplicate) when Tax invoices are issued in machine-readable format files can be confusing. To ensure the correct management of original documents, in addition to technical controls, Pagero Online adds "Copy Tax Invoice" on PDF Presentations where Tax invoices have been issued as machine-readable format files.

5.8. Distribution between taxpayers

This section explains how and if trading parties can send invoices between each other. In some cases, hubs also distribute the tax document to the buyer.

The distribution method is free to be decided by trading parties.

5.9. Rectification process

This section will express the process that needs to be taken when there is an error in an invoice, how it is to be handled, and corrected by both buyer, seller, and if a notification needs to be delivered to the tax authority.

No regulations have been published directly relating to e-invoicing. However, where a VAT registered person issues a tax invoice and accounted for an incorrect amount of tax by undercharging or overcharging tax on a supply made. They shall be entitled to issue to relevant party a tax debit note or a tax credit note, as the case may be, for the purpose of adjusting the amount of tax undercharged or overcharged within 6 months from the date of issuance of the original invoice.

5.10. Coexistence of paper and electronic invoices

Item	Commentary
Whether parallel invoicing (issuance and exchange of the same document in several formats, e.g. electronically and on paper) is allowed and/or whether there are any regulations surrounding it	• Not permitted • Where original e-invoicing is issued to customers, the same invoice can be printed for the purposes of record retention. Note that hardcopies must be made available on request of the tax authority. In this regard, note that that under Section 20(5) of the VAT Act, It shall not be lawful to issue more than one tax invoice for each supply. If a registered person claims to have lost the original tax invoice, the person who makes the supply may issue to such registered person a copy clearly marked "copy only".
Whether the jurisdiction allows for document (e.g. invoice) dematerialization, i.e. destruction of the original paper invoice, for processing and/or archiving	• Not allowed
Whether any conditions apply, and which, to the dematerialisation	• N.a.
Whether the jurisdiction allows for document (e.g. invoice) materialization, i.e. destruction of the original electronic document, for processing and/or archiving	• Yes, allowed.

Whether any conditions apply, and which, to the materialisation

- Electronic invoices need to follow requirements set out by [ETA](#).

5.11. Contingency invoicing

This refers to the process for e-invoicing if any mandatory infrastructure is inaccessible. If temporary measures are available, or allowed, to facilitate invoicing during the downtime.

In Sri Lanka, there are no regulations in this regard. No mandatory infrastructure.



6. Document content requirements

6.1. Document types

Item	Commentary
Documents mandatory for issuance by supplier	• Complete invoice (tax invoice) • Sri Lankan simplified invoice; allowed if approved and obtained a registration number under the SVAT (Simplified/suspended Value Added Tax Scheme) by submitting application for registration⁴ • Sri Lankan commercial invoice⁵
Documents mandatory for issuance by buyer	• N.a.

Item	Commentary
Self-billing allowed	• No
Simplified invoice allowed	• No* *Not to be confused with "Sri Lankan simplified invoice"

⁴ See the Gazette Notification on the Simplified Value Added Tax that is issued by the Inland Revenue Department (IRD) for detailed information: http://www.ird.gov.lk/en/publications/Gazette_Documents/2015_1910_02_E.pdf and the Guidelines http://www.ird.gov.lk/en/Type%20of%20Taxes/SVAT_Downloads/SVAT_Guidelines-31.7.2012.pdf

⁵ Where a supply is made to a non-VAT registered person, the supplier shall issue a Commercial invoice and not a tax invoice.

6.2. Document numbering

This section outlines the requirements to the sequential numbering of invoices and, where applicable, other documents.

6.2.1. Document numbering by the taxpayer

Item	Commentary
A sequential number, based on one or more series, which uniquely identifies the invoice	• Yes. Taxpayers can use any number, but it should not be duplicated with any invoice number mentioned in previous period. • In the framework of their business purposes (i.e. when there are several invoicing sites for one company, self-invoicing, or when there are several clients for which the invoicing rules are different), the taxable persons may use invoicing numbering with a distinct series of numbers as long as the following conditions are met: ◦ Invoice must set out the date on which it was issued; and ◦ its serial number which does not exceed 40 characters without any space.
Different series of sequential numbers allowed (e.g. a separate sequential numbering for intercompany billings, credit notes, etc.)	• Yes
Allowed to start a new sequential numbering every year	• Yes It is recommended
Worldwide numbering on legal entity level allowed provided that gaps can be explained	• No, numbering required per registration
Required that the numbers follow the date of issuance (i.e. is it true that an invoice with number 2 cannot have an invoice date older than the invoice with number 1)	• Yes

6.2.2. Additional document numbering

This section should outline any additional numbering, e.g. provided in addition by the tax authority or that must be generated by the taxpayer based on specific specifications.

6.3. Indirect tax (IT)⁶ rates

This section illustrates the applied IT⁷ rates and provides a non-exhaustive list with examples of goods and/or services that fall within specific IT rates. IT rates that differ between different administrative units are clearly outlined.

Indirect tax rates		
15%	Standard	All other taxable goods and services. Including supply of services by a hotel, guest house, restaurant or other similar businesses providing similar services, registered with the Sri Lanka Tourism Development Authority
18%	Special	On supply of financial services from 1 January 2022
0%	Zero	On the import of goods (fabrics) set out in the H.S. Code and description specified in Column I and II of Schedule of the Extraordinary Gazette Notification No. 2095/20 dated November 1, 2018
	Exempt	Exempt supplies comprise specified goods and services and certain imported goods, including wheat; wheat flour; drugs; medicines; aids and implements used by disabled persons; ayurvedic preparations; locally developed software, etc

6.4. Mandatory IT invoice content

The section below illustrates the minimum legal requirements related to the content of invoices issued according primarily to the indirect tax regulations of Sri Lanka. Please note that other additional content requirements might apply in addition, i.a. of technical character.

General	
Required to mention the word "invoice"	Yes. Wording "TAX INVOICE" or in Sinhala "බදු ඉන්වොයිසිය" must be displayed in a prominent place on such invoice
Required that the invoice is issued in the language of the country who is entitled to impose the invoice requirements:	The invoice may be issued in English or native Sinhala
Sequential numbering	Yes. This requirement is stipulated under Section 20 (2) of the Value Added Tax Act No.14 of 2002 (VAT Act) in Sri Lanka

⁶ For the purpose of this document, IT refers to Indirect Tax, including, but not limited to Value-Added Tax (VAT), Goods and Sales Tax (GST), Sales tax, etc.

⁷ Local name மதிப்பு கூட்டு வரிகள் (Tamil)

Required to mention copy or duplicate in case a copy is issued	• Yes, the invoice must mention "copy only". Section 20 (5) of the VAT Act stipulates that it is not lawful to issue more than one tax invoice for each supply. Accordingly, If a registered person (recipient of invoice) claims to have lost the original tax invoice received, the supplier may issue to such registered person a copy clearly marked "copy only".
Reference in case of outsourced issuance	• No

Supplier data	
Full legal name of the supplier	• Yes
Allowed to abbreviate or shorten the legal name of the supplier	• No
Full address of the supplier in country of establishment	• Yes. Full registered address of the Supplier in Sri Lanka must be stated
Allowed to mention the PO box address instead of the legal address of the supplier	No. PO Box address not applicable in Sri Lanka. It is the registered address
IT identification number/sales tax number from the supplier in the country where the supply takes place for IT purposes	• Yes, if a registration is available in the country of supply The supplier must be registered for VAT in Sri Lanka and that VAT registration number must be stated as per VAT Act in Sri Lanka.
IT identification number of the supplier in the country of establishment	• Yes
Information (i.e. name, address, IT number) of the fiscal representative of the supplier (if appointed)	• No
Legal form of the supplier	• No
Trade register number of the supplier	• No
Company Registry data of the supplier (e.g. court registration, address of chamber of commerce)	• No
Place of legal seat of the supplier (Headquarters)	• No
Other supplier data	• No

Customer data	
Full legal name of the customer	• Yes If a "Tax Invoice" is issued to a VAT registered person, then the name, address and VAT registration number is also required as stipulated under Section 20(2) of the VAT Act.
Allowed to abbreviate or shorten the legal name of the customer	• No
Address of the customer in country of establishment	• Yes. If a "Tax Invoice" is issued to a VAT registered person, then the name and address is also required as stipulated under Section 20(2) of the VAT Act.
Bill-to address when it is different from the registered address of the customer	• No
Allowed to address the invoice to a Post Office Box address instead of the legal address of the customer	• No Not applicable
IT identification number in the country where the supply takes place for IT purposes in case of domestic supplies (if available)	• Yes, but only on invoices with VAT. Registration number of the customer is also required if the customer is a VAT registered entity
IT identification number of the customer in the country of dispatch for invoices issued for exempt export supplies	• No
IT identification number of the customer in another Member than the Member State of dispatch for intra-Community supplies	• N.a.
Information (i.e. name, address, IT identification number) of the fiscal representative (if customer has appointed a fiscal representative)	• No
Other customer data	• No

Transaction data	
Date of issue	• Yes
Date of supply (chargeable event)	• Yes
Date of prepayment	• No If the advance payment is liable for VAT, then at the point of invoicing for the advance payment, the required details as per Section 20(2) of the VAT Act must be

	included on the invoice raised for the advanced payment.
Description of the goods/services	• Yes
Quantity of the goods supplied or the extent of the services supplied	• Yes
Purchase order number	• No
Shipped from location (for the supply of goods)	• No, but recommended
Shipped to location (for the supply of goods)	• No, but recommended
Status of the goods (e.g. in bond, in free circulation)	• No, but recommended
Incoterms	• No Not applicable
Other information on the supplied goods/services required (except in case of intra-Community supply of new means of transport)	• None

Financial data	
Taxable base per item (unit price excl. IT)	• No, but recommended. Since the quantity and value of supply is required to mentioned, unit price could be included.
Total taxable base per IT rate or exemption	• No. Invoices are issued separately for zero rated supply and VAT liable supply
IT rate applied	• Yes
Total IT amount calculated per rate	• Yes
Total IT amount payable	• Yes
Discounts/rebates if not included in the unit price	• Yes
Total gross amount (including IT)	• Yes For a "Tax invoice" the VAT amount must be stated separately. If it is an invoice to a person not registered for VAT, then it will be a VAT inclusive invoice
Mandatory to mention the total IT amount due in the national currency	• Yes Applicable law is VAT Act in Sri Lanka. For a "Tax invoice" the VAT amount must be

	stated separately. If it is an invoice to a person not registered for VAT, then it will be a VAT inclusive invoice
Which other amounts (i.e. none, only the total IT amount) must be mentioned in the national currency of your country	• In case of domestic supplies, all amounts mentioned in the invoice (i.e value of supply, tax charged and consideration for the supply) must be in local currency. • If it is an invoice for export of goods or services, the Value of supply is mentioned in the foreign currency. VAT rate is zero rated for exports.
Exchange rate (if the invoice is not issued in the local currency)	• No. For local supply it must be in LKR. If it is an invoice for export of goods or services, can state in foreign currency.
Which exchange rate must be applied in order of priority	• As published in by the Central Bank of Sri Lanka
Terms of payment	• No, but recommended
IBAN and BIC number of supplier	• No. Not applicable in Sri Lanka

Specific references for invoices	
Invoice reference in case of IT exemption or reverse charge	• No. Reverse charge mechanism not applicable in Sri Lanka. There is no need to mention the VAT exemption reference on the invoice
List the required references in case of exemption or reverse charge	• N.a.
Allowed to refer to the appropriate provision in Directive 2006/112/EC for: - "reverse charge" for supplies subject to a reverse charge mechanism; - " supply is taxable in the country of the recipient" for B2B supplies of services; - "exempt intra-Community supply - article 138 VAT Directive"; - "Exempt export - article 146 VAT Directive"; - "simplification for	• N.a.

triangular sales - article 141 VAT Directive - " Transfer of own goods- article 17 VAT Directive"?	
Required to specifically mention 'margin scheme - travel agencies', 'margin scheme - second hands goods', if applicable	• No
Reference required if the transaction takes place outside the EU as a result of the Use and enjoyment provisions	• N.a.
Specific other reference required, e.g. in case of barter transaction, prepayments, etc. (not self-billing or special margin schemes)	• Barter transaction not applicable in Sri Lanka. In case of advance payments it can be mentioned as part of the description of goods or services. It is not specifically provided under the VAT Act.
Specific references required in case invoicing is outsourced	• No regulations stipulated in this regard.
Reference to 'cash accounting scheme' in B2B sales in case the IT is due by the supplier upon receipt of the payment/IT is deductible by the customer upon payment	• No. VAT is due on an accrual basis except for specified circumstances. The Commissioner General may approve cash basis on such conditions as may be specified by him on an application made by the registered person. VAT collected from customer is payable by the supplier to the tax authorities.
Other specific requirements/references to be mentioned on an invoice	• No

6.5. Simplified invoice

The Supplier is not always obliged to issue a complete invoice. In certain scenarios, they may be able to issue a so-called simplified invoice.

Not to be confused with the Sri Lankan simplified invoice

Simplified invoicing	
Possible to issue simplified invoices for certain supplies	• No
Maximum amount for simplified invoices	• N.a.

Other supplies for which a simplified invoice can be issued	• N.a.
Simplified invoices limited to certain type of supplies	• N.a.
Simplified invoices not allowed for certain transactions	• N.a.
Minimum content requirements on a simplified invoice	• N.a.
Invoices subject to the national invoice requirements (not self-bills)	• N.a.
(other) Invoices subject to the national invoice requirements (not self-bills)	• N.a.

Pagero Online does not support the creation of simplified invoices as they typically do not correspond to the business requirements of Buyers.

6.6. Rectification document

In Sri Lanka, a credit note must be issued as rectification documents. A credit note should include at least the following information:

Specific references for rectification documents	
Must the word "credit note" be mentioned	• Yes
Reference to original invoice required on a credit note	• Invoice number
Clear indication required that the amount mentioned on the credit note is crediting earlier amount (e.g. minus sign '-')	• Yes
Reason for credit required	• Yes

Sequential numbering	
Separate sequential credit note numbering required	• No, but recommended. Not specified. But recommended since there should not be a break in the invoicing number sequence
Allowed to issue one credit note to correct different invoices	• Yes. Different invoices to same customer permitted. But reference to the invoices must be given.

Pagero Online creates corrective invoices according to the content requirements of the Complete invoice.



7. Integrity and Authenticity

Ensuring the integrity of the content, as well as the authenticity of the origin (I&A) of an invoice, is an obligation for both the Supplier and the Recipient.

The purpose of this section is to further clarify the local I&A requirements on B2B invoices, as well as outline whether different requirements apply to B2G invoices. The review is done both from the Supplier's and the Recipient's perspective, as varying rules may apply.

Item	Supplier	Recipient
Whether it is mandatory to ensure I&A in the jurisdiction	• Yes	• Yes
Which methods for ensuing I&A are provisioned for	• Any means Business Controls	• Any means Business Controls,
Which requirements apply for I&A methods if ensured by a third-party (outsourcing)	• No explicit requirements	• No explicit requirements

7.1. e-Signature

Even where e-signature is not an explicit requirement, Pagero recommends that our customers apply it as, globally, it is the most widely accepted legal means of ensuring I&A for business transactions.

In practical terms, this results in the same evidential position for e-Documents as for paper documents. This unique feature of e-signature provides an exceptional level of legal certainty.

Item	Commentary
e-Signature technical requirements	• The use of e-signature is not mandated. However, the law states that e-signature satisfies in place of handwritten signature

Automated e-signing	• No explicit requirements
Time-stamping of e-signature	• No explicit requirements

7.2. e-Signature validation

The Recipient of an invoice is often required by law or practice to validate the e-signature on the received invoice. Even for countries where the validation-upon-receipt is not expressly regulated, this is recommended by Pagero for both trading partners to be able to guarantee I&A.

Item	Commentary
Validation upon receipt	• No explicit requirements
Time-stamping of validation data	• No explicit requirements



8. Document retention

This section describes archiving requirements regarding the e-invoicing process and documents handled by Pagero. Please note, additional archiving requirements may apply to your specific documents.

Item	Commentary
Components to be stored (e.g. tax invoice, source documents, audit trail, I&A proof)	• Tax invoice, source documents, audit trail and proof of authenticity
Requirements to present stored documents in a specific audit format	• No, the law does not specify the format of the electronic invoices • The electronic form of invoices is permitted to be maintained under the VAT Act. The hard copies must be presented upon request supporting the claim of input VAT against output VAT.
Legibility, i.e. the ability to read stored e-documents by an untrained eye	• Required
Legibility requirements	• No explicit requirements set out but law, but transformation to a human readable format must be possible if hard copy is requested
Retention period for invoices not related to immovable property⁸	• As per Section 20(4) of the VAT Act, documents must be maintained for 5 years. This is for the purpose of VAT. However under the general framework it is required to be maintained for 7 years. However, it is generally recommended in Sri Lanka to maintain records for 10 years out of caution. Further, if any proceeding is pending before any authority or court, the taxpayer is required to maintain such records till the final decision of the

⁸ Pagero stores all documents for 90 days due to data privacy and security regulations, after which the data is automatically deleted, unless Archive has been selected. Pagero provides long term archiving (for the legally required term, plus one year)

	proceedings. This would include invoices as well. • Distinction not made in Sri Lanka between invoices related/not related to immovable property.
Start point of retention period calculation for invoices not related to immovable property	• From the end of the taxable period to which they relate
Retention period for e- invoices related to immovable property	• As per Section 20(4) of the VAT Act, documents must be maintained for 5 years. This is for the purpose of VAT. However under the general framework it is required to be maintained for 7 years. • Distinction not made in Sri Lanka between invoices related/not related to immovable property.
Start point of retention period calculation for invoices related to immovable property	• From the end of the taxable period to which they relate
Retention period for other than regular invoices or invoices related to immovable property (if existing):	• No
Start point of retention period calculation for other than regular invoices or invoices related to immovable property:	• N.a
Outsourced archiving	• Allowed • Not specified in the statute
Archiving abroad⁹ and conditions, if any (e.g. notification, derogation, online access, mutual tax assistance treaty)	• Allowed (no regulations in place)
Other requirements in relation to electronic document retention	• A hard copy version must be presented upon request

⁹ In certain situations or jurisdictions deviating requirements – typically regarding archiving abroad – may apply to invoices and related documents, e.g. concerning matters of defence and national security. Therefore, Pagero encourages customers to inquire for and receive an explicit written statement from the local tax authority stating that the archiving of such documents outside of the taxpayer's country is permitted. Pagero in a capacity of a third-party may not apply for derogations or clarifications of this nature on behalf of a taxpayer.



9. Other transactional documents

Along with invoices, countries may have regulations relating to other trading documents. The purpose of this section is to provide a selective (not exhaustive) overview of the regulation of other transaction-related documents of importance.

Document	Commentary
Purchase order	• No explicit requirements
Rectification document	• Yes, see section 6.6 above
Payment instruction	• No explicit requirements
SAF-T (or alike) reporting	• No explicit requirements
Transportation documents	• No explicit requirements
Other	• No explicit requirements



10. Other requirements

This section highlights certain aspects of the local regulations and infrastructure that differ from Pagero's General invoice processing and our standard country compliance investigation.

10.1. Public Procurement

The [PROMISE platform](#) run by the Sri Lankan Government offers an electronic procurement solution in the country. The platform offers digital handling of the entire procurement process.

10.2. Indirect tax reporting

In Sri Lanka, taxpayers are possible to file their indirect tax reporting through the governments [e-services](#).

The due date to file your VAT return is on or before the last day of the month after the expiry of each taxable period (may be monthly or quarterly).

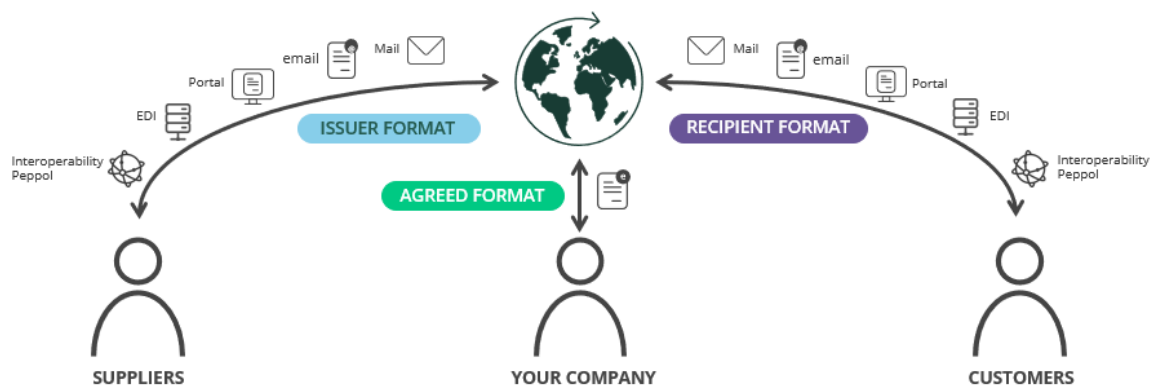


11. Country-specific processing

This section outlines how the Pagero General e-Invoicing process has been adapted to the local requirements to ensure compliant local processing.

In Sri Lanka there is no difference between B2B and B2G.

11.1. Document issuance (AR) and reception (AP) with Pagero



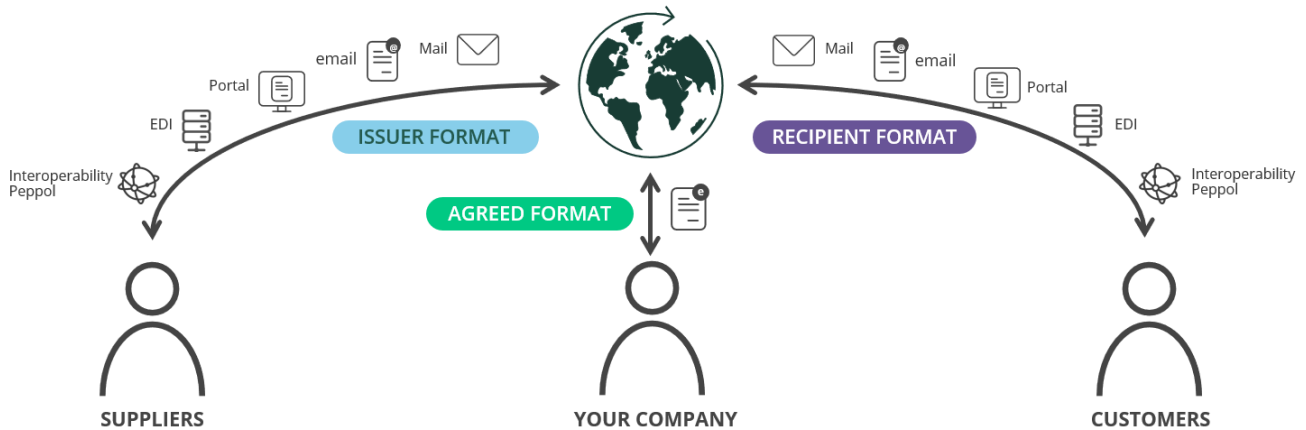
(1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners

(2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements

(3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms

(4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.

11.2. Document reception (AP) with Pagero



- (1) PAGERO ensures that documents can be exchanged with your company and your suppliers and customers, from your company perspective in a single format to ensure 100% digital AR and AP processing, while on the other hand in the preferred format and exchange mechanism with your trading partners
- (2) PAGERO ensures the country-specific document content, document integrity and authenticity, as well as archiving requirements
- (3) PAGERO supports unlimited number of document formats and multiple exchange mechanisms
- (4) PAGERO supports such exchange channels as: Interoperability, Peppol, EDI, portal, e-mail, capturing / scanning, etc.



12. Closing statements

12.1. Confidentiality

This General invoice processing description of Pagero Online, our Country Compliance Reports, and other documents provided by Pagero are of confidential nature and are only intended for and may only be used by Pagero's Customers, their employees or other authorized recipients for the purpose or purposes specified and agreed to between the parties. Descriptions, reports, and documentation may not – neither in full nor in parts – be copied or otherwise distributed to third parties without Pagero's prior written consent.

12.2. Disclaimer

In order to establish a relationship based on trust and transparency with our Customers, Pagero provides its General e-Invoice and eArchiving processing descriptions of Pagero Online as well as Pagero's Country Compliance Reports. These documents are intended to enable our Customers and their tax advisors to assess how Pagero has interpreted the relevant legislation and implemented it in our processes in order to support our Customers to fulfil their legal obligations.

We would like to remind our Customers that, according to tax and accounting regulations, the outsourcing of any process to third parties (such as issuance, compiling, processing, receipt, or archiving of e-Invoices), will not lead to a shift of liability, the liability will remain with the Customer. Accordingly, the taxable person always remains responsible towards the local authorities for ensuring their e-Invoice compliance, and for fulfilling accounting and reporting requirements. We want to emphasise this, in the light of that there can be potentially conflicting regulations on regional, national, or international levels.

Pagero endeavours to only include and provide accurate and up to date information. However, Pagero makes no guarantees as to the accuracy of any statement, information or advice provided by Pagero, whether in writing or verbally. The Customer must make an informed decision about whether to adhere to and follow such recommendations or not. The final decision and responsibility regarding tax, accounting, and reporting issues rest with the Customer.



Revision history

Date	What has changed
13 December 2019	Document created
11 October 2021	Section 6: updated information on document content requirements
28 June 2022	VAT table updated
19 June 2023	General update in all sections. Updated VAT registration threshold. Standard VAT rate updated, raised to 15% on 1 September 2022